CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Second Quarter Ended
June 30, 2001

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Sales for the quarter of $148.0 million represented a 6.3% increase from last year, reflecting increased revenues across all major product lines. For the year to date, sales of $284.9 million compared to $270.0 million, an increase of 5.5%.

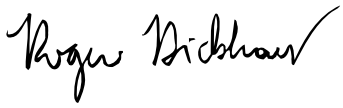
Earnings from operations for the quarter of $6.8 million compared to $6.3 million last year, an increase of 8.2%. Earnings from sales of both fresh bread and pasta products improved significantly. Frozen product sales improved over last year, due primarily to steadily increasing contribution from sales to Maple Leaf Bakery in the US. For the year to date, earnings from operations of $12.7 million represents a 16.0% increase from $10.9 million last year.

Net earnings for the quarter of $3.8 million ($0.17 per share) compares to $3.1 million ($0.14 per share) last year, an increase of 21.4% in earnings per share due to increased operating earnings, improved earnings at 25%-owned Multi-Marques Inc., and lower interest expense. For the year to date, net earnings of $7.1 million represents a 33% increase from $5.4 million last year.

The Dempster's WholeGrain line of breads that was launched nationally during the first quarter, has shown good initial volume and contributed positively to earnings.

In the first quarter, the Company announced that it had reached an agreement to purchase the remaining 75% of Multi-Marques Inc., to bring its ownership to 100%. The agreement continues to be subject to clearance under the Competition Act.

For the Board of Directors,





Roger Dickhout
President and Chief Executive Officer

Richard A. Lan
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended June 30 2001	Quarter Ended June 30 2000	Six Months Ended June 30, 2001	Six Months Ended June 30, 2000
Sales	**$ 147,962**	$ 139,227	**$ 284,937**	$ 269,980
Earnings from operations	**6,766**	6,256	**12,651**	10,910
Other income	**114**	(134)	**270**	(101)
Earnings before interest and taxes	**6,880**	6,122	**12,921**	10,809
Interest expense	**219**	655	**436**	1,242
Earnings before income taxes	**6,661**	5,467	**12,485**	9,567
Income taxes	**2,862**	2,407	**5,363**	4,212
Net earnings for the period	**$ 3,799**	$ 3,060	**$ 7,122**	$ 5,355
Earnings per share	**$ 0.17**	$ 0.14	**$ 0.33**	$ 0.25
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter Ended June 30 2001	Quarter Ended June 30 2000	Six Months Ended June 30, 2001	Six Months Ended June 30, 2000
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 3,799**	$ 3,060	**$ 7,122**	$ 5,355
Add (deduct) items not affecting cash:				
Depreciation	**4,577**	4,250	**9,044**	8,497
Amortization	**736**	757	**1,472**	1,518
Future income taxes	**412**	—	**317**	—
Associated company dividends, net of undistributed earnings	**(97)**	1,063	**10,153**	1,063
Changes in non-cash working capital	**(1,535)**	5,571	**(9,108)**	(11,786)
	7,892	14,701	**19,000**	4,647
Financing activities				
Dividends paid	**(1,285)**	(1,285)	**(2,570)**	(2,570)
Increase (decrease) in long-term debt, net	**(24)**	(3,835)	**(44)**	5,442
	(1,309)	(5,120)	**(2,614)**	2,872
Investing activities				
Additions to property and equipment	**(2,575)**	(3,546)	**(4,748)**	(4,244)
	(2,575)	(3,546)	**(4,748)**	(4,244)
Net increase in cash for the period	**4,008**	6,035	**11,638**	3,275
Cash, (Bank indebtedness), beginning of period	**4,350**	(4,196)	**(3,280)**	(1,436)
Cash, end of period	**$ 8,358**	$ 1,839	**$ 8,358**	$ 1,839)

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars, as at	June 30, 2001 (Unaudited)	June 30, 2000 (Unaudited)	December 31, 2000 (Audited)
Assets			
Current assets:			
Cash	**$ 8,358**	$ 1,839	$ —
Accounts receivable	**24,959**	27,878	25,094
Due from related company	**8,341**	4,358	5,281
Inventories	**16,340**	16,684	16,065
Income and other taxes receivable		—	1,673
Future tax asset	**2,486**	3,139	2,655
Prepaid expenses	**4,073**	2,181	1,740
	64,557	56,079	52,508
Investment in associated company	**36,818**	45,066	46,971
Property and equipment	**152,380**	161,250	156,676
Goodwill	**72,753**	75,689	74,225
	$326,508	$338,084	$330,380
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ —**	$ —	$ 3,280
Accounts payable and accrued charges	**49,864**	54,030	55,958
Dividend payable	**1,285**	1,285	1,285
Income and other taxes payable	**846**	463	—
Current portion of long-term debt	**94**	102	102
	52,089	55,880	60,625
Long-term debt	**139**	20,218	175
Future tax liability	**34,287**	35,896	34,139
Shareholders' equity	**239,993**	226,090	235,441
	$326,508	$338,084	$330,380

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars (Unaudited)	Six Months Ended June 30, 2001	Six Months Ended June 30, 2000
Retained earnings, beginning of period	**$198,476**	$194,195
Adjustment to reflect change in accounting for income taxes	**—**	(7,855)
Net earnings for the period	**7,122**	5,355
Dividends declared	**(2,570)**	(2,570)
Retained earnings, end of period	**$203,028**	$189,125

The accompanying notes to the consolidated financial statements are an integral part of this statement.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(Quarter ended June 30, 2001 and June 30, 2000)

1. Basis of presentation

These consolidated financial statements should be read in conjunction with the consolidated financial statements for the year ended December 31, 2000 as set out on pages 11 to 19 of the 2000 Annual Report. These financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2000.

2. Acquisition

On January 22, 2001, the Company reached an agreement to increase its ownership in Multi-Marques Inc. from 25% to 100% by acquiring the remaining outstanding shares from all of the other shareholders. The purchase will represent a net investment of approximately $125 million and will be financed with new long term bank debt. Finalization of the transaction is dependent on clearance of the transaction under the Competition Act.


CANADA
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